

Indian Metals & Ferro Alloys Ltd	ACCUMULATE
NSE: IMFA Sector: Metals & Mining Sub-sector: Ferrochrome	12M Price Target ■1,620
India's largest integrated ferrochrome producer, pivoting to 500,000 MT capacity	Upside: +15.7% from CMP ■1,400

CMP (■)	Market Cap	52W High/Low	P/E (TTM)	Div. Yield
1,400	■7,551 Cr	1,511 / 550	20.5x	1.43%
Book Value (■)	P/B Ratio	ROCE	ROE	Face Value (■)
465	3.01x	21.3%	17.0%	10

Investment Horizon	12–18 months
One-Line Thesis	Capacity doubling to 500,000 MT by FY28 positions IMFA as India's largest and world's sixth-largest ferrochrome producer.
Report Date / Analyst	13 April 2026 Institutional Research Desk

SECTION 2 — INVESTMENT THESIS

Reason 1: Capacity Doubling Drives Non-Linear Volume Growth

IMFA is executing a 76% capacity expansion — from ~284,000 MT to ~500,000 MT+ — through a combination of its greenfield plant at Kalinganagar (100,000 MT) and the acquisition of Tata Steel's Kalinganagar ferro chrome facility (100,000–150,000 MT, acquired for ■707 Cr in early FY26). At full ramp by FY28, IMFA becomes India's largest and the world's sixth-largest ferrochrome producer. Revenue is expected to scale from ■2,565 Cr (FY25) to ~■3,850 Cr (FY27E), a 50% increase over two years, with operating leverage amplifying EBITDA margins toward 22%+ as fixed costs are spread across a larger volume base.

Reason 2: Strategic Acquisition at Compelling Valuation Unlocks Synergies

The ■707 Cr acquisition of Tata Steel's Kalinganagar ferro chrome plant is funded entirely from internal accruals — IMFA had ■909 Cr in investments and a net cash position of ■520 Cr as of FY25. The acquired plant sits adjacent to IMFA's captive chrome ore mines, immediately unlocking raw material cost savings and logistics synergies. With 99 MVA of additional furnace capacity (66 MVA operational, 33 MVA under construction), the deal effectively adds capacity at a cost far below greenfield replacement value, making it structurally accretive from Day 1.

Reason 3: Energy Transition to Renewables Structurally Compresses Input Costs

Power accounts for ~30-35% of ferrochrome production costs. IMFA is contracting 120 MW of hybrid renewable energy (wind + solar) with two leading suppliers, targeting 35-40% of energy consumption from renewables by end-2026. At current tariff differentials, this could deliver ■80-100 Cr annual cost savings at full scale, directly widening EBITDA margins by ~300-400 bps on FY27E revenues. Additionally, the company is diversifying into ethanol production, expected to contribute ■300 Cr revenue with 8-10% EBITDA margins, creating a new non-cyclical income stream.

Near-Term Catalyst & Key Structural Risk

Catalyst (6–12 months): Commissioning of the first Kalinganagar greenfield furnace by June 2026, followed by the second furnace by Q3 FY27, which will trigger a step-change in reported volumes and provide hard evidence of execution capability.

Structural Risk: Ferrochrome prices are ultimately driven by global stainless steel production (China accounts for ~55% of global stainless output) — a sustained slowdown in Chinese property/infrastructure investment could depress benchmark ferrochrome prices by 15-20%, compressing EBITDA margins by 300-500 bps and challenging the return profile of the expansion capex.

SECTION 3 — BUSINESS OVERVIEW

What Does IMFA Do?

Think of IMFA as a specialised steel additive company. Just as a car needs special alloys to make its engine parts stronger, stainless steel needs ferrochrome to become corrosion-resistant and shiny. IMFA mines chrome ore from its own mines in Odisha, smelts it in large electric furnaces, and sells the resulting ferrochrome to stainless steel mills across Asia and Europe. The entire process — from mine to finished alloy — happens within IMFA's integrated operations in Odisha, giving it a significant cost advantage over non-integrated peers.

Core Business Model & Margins

IMFA operates as a vertically integrated ferrochrome producer. Its captive chrome ore mines (Category A mining leases in Odisha) provide a secure, low-cost raw material base. The smelting operations convert chrome ore into charge chrome (47-55% Cr) and high-carbon ferrochrome using electric submerged arc furnaces. FY25 revenue was ₹2,565 Cr with an EBITDA margin of 21%, up from 18% in FY23, driven by operational efficiencies and lower interest costs. PAT margins expanded to 14.8% in FY25 (from 8.5% in FY23) as debt reduced sharply.

Revenue Segmentation & Geography

Ferrochrome accounts for virtually 100% of IMFA's core revenue. Geographically, over 90% of output is currently exported — primarily to South Korea, Taiwan, Japan, and Europe — with the residual 10% sold to domestic stainless steel producers. Post-expansion, management intends to shift the mix to 60-70% exports and 30-40% domestic, capitalising on India's growing stainless steel capacity additions (JSW Steel, Jindal Stainless).

Revenue Characteristics & Strategic Developments

Revenue is largely spot-price linked (quarterly benchmark ferrochrome contracts), making it moderately cyclical but with predictable volume offtake from long-standing Korean and Japanese customer relationships. Key strategic actions in the last 18 months: (1) Greenfield 100,000 MT plant at Kalinganagar under commissioning; (2) Acquisition of Tata Steel's Kalinganagar ferrochrome plant for ₹707 Cr; (3) Signing of 120 MW hybrid renewable energy contracts; (4) Entry into ethanol production as a margin diversifier.

Promoter Background

IMFA is promoted by the Panda family, led by Managing Director Subhrakant Panda (also President of FICCI). The family has maintained a stable 58.69% promoter stake with zero pledging over the past three years, reflecting strong balance sheet confidence. The company has been listed for over three decades and has navigated multiple commodity cycles.

SECTION 4 — INDUSTRY & COMPETITIVE LANDSCAPE

Industry Size & Demand Drivers

Global ferrochrome production is ~14 million MT per annum, dominated by South Africa (~45%) and Kazakhstan (~17%), with India at ~8%. The primary demand driver is stainless steel production, growing at 4-5% CAGR globally. India's domestic stainless steel consumption is expanding at 7-8% CAGR, supported by infrastructure spending, consumer durables, and the auto sector. Government PLI-backed stainless steel capacity additions (Jindal, JSW) are expected to grow India's domestic ferrochrome demand by 12-15% CAGR through 2028.

Government Policy Tailwinds

India's Odisha state government has been supportive of chrome ore mine lease renewals and extensions for integrated producers like IMFA. The central government's focus on import substitution in specialty alloys benefits domestic producers. However, export duty risks on chrome ore (to incentivise domestic processing) remain a policy variable to monitor. The renewable energy push (National Green Hydrogen Mission) could lower power costs further.

Competitive Moat Assessment

Moat Factor	Rating	Rationale
Pricing Power	Moderate	Quarterly benchmark contracts; some negotiating leverage with long-term customers
Switching Costs	Moderate	Long-term relationships with Korean/Japanese mills; quality certification requirements
Scale/Cost Advantages	Strong	Vertical integration (captive mines + smelting) provides cost floor vs. non-integrated peers

Moat Factor	Rating	Rationale
IP / Technology	Weak	Commodity product; technology is well-understood submerged arc furnace process
Distribution/Relationships	Strong	Decades-long offtake relationships; shift to domestic sales reduces FX volatility

Peer Comparison (Source: Screener.in, as of 13-Apr-2026)

Company	CMP (₹)	MCap (₹Cr)	P/E (TTM)	P/B	ROCE%	ROE%	TTM Rev (₹Cr)
IMFA	1,400	7,551	20.5	3.01	21.3%	17.0%	2,565
MOIL	306	6,221	59.8	2.68	11.4%	8.3%	976
Sandur Manganese (SANDUMA)	202	9,819	16.3	3.38	20.8%	18.6%	4,898

SECTION 5 — MANAGEMENT QUALITY & CAPITAL ALLOCATION

Management Track Record

The Panda family has stewarded IMFA through multiple ferrochrome price cycles over 40+ years. MD Subhrakant Panda is a respected industry voice (FICCI President) with strong policy access. The management demonstrated disciplined capital allocation during the FY22 supercycle — using peak profits to aggressively deleverage (borrowings fell from ₹679 Cr in FY21 to ₹237 Cr by FY24) and build a ₹909 Cr investment corpus, rather than chasing ill-timed capacity additions.

Capital Allocation & Dividend Policy

IMFA has been a consistent dividend payer with a 1.43% yield at current prices. The decision to fund both the ₹707 Cr Tata Steel acquisition and the greenfield plant entirely from internal accruals (without equity dilution) demonstrates balance sheet conservatism. ROCE improved from 14% (FY21) to 24% (FY24) before normalising to 21.3% (FY25) — a strong multi-cycle return profile. No material value-destructive acquisitions have been made historically.

Governance & Risk Flags

Promoter pledging is 0% — a strong governance positive. Shareholding has been unchanged at 58.69% for over three years, indicating no dilution or creeping acquisitions. No significant audit qualifications or auditor changes have been flagged. Related party transactions appear within normal operational bounds. The company has a clean credit history with ICRA maintaining investment-grade ratings.

SECTION 6 — FINANCIAL DEEP-DIVE

Income Statement (₹ Crore, Consolidated)

Source: Screener.in | (E) = Analyst Estimates

Metric	FY23A	FY24A	FY25A	FY26E	FY27E
Revenue (₹ Cr)	2,676	2,780	2,565	3,200	3,850
YoY Growth %	2.8%	3.9%	-7.7%	24.8% (E)	20.3% (E)
EBITDA (₹ Cr)	488	587	531	672 (E)	847 (E)
EBITDA Margin %	18%	21%	21%	21% (E)	22% (E)
Depreciation	107	78	55	95 (E)	110 (E)
Interest Expense	66	35	28	75 (E)	65 (E)
Other Income	9	42	66	35 (E)	30 (E)
PBT (₹ Cr)	324	516	514	537 (E)	702 (E)
Tax Rate %	30%	33%	26%	26% (E)	26% (E)
PAT (₹ Cr)	226	344	379	397 (E)	519 (E)
Diluted EPS (₹)	41.75	63.68	70.19	73.5 (E)	96.1 (E)

Balance Sheet Snapshot (■ Crore, Consolidated)

Source: Screener.in

Metric	FY23A	FY24A	FY25A
Total Equity (■ Cr)	1,873	2,105	2,348
Total Borrowings (■ Cr)	341	237	389
Investments / Cash (■ Cr)	264	372	909
Net Debt / (Cash) (■ Cr)	77	(135)	(520)
Debt / Equity Ratio	0.18x	0.11x	0.17x
Debtor Days	12	18	16
Inventory Days	162	224	264
Days Payable	52	88	70
Cash Conversion Cycle (days)	122	153	210

Cash Flow & Returns (■ Crore, Consolidated)

Source: Screener.in | FCF as computed by Screener

Metric	FY23A	FY24A	FY25A
Cash from Operations (OCF)	151	460	585
Free Cash Flow (Screener)	387	347	471
FCF Yield % (on MCap ■7,551 Cr)	5.1%	4.6%	6.2%
ROCE %	18%	24%	21.3%
ROE %	12.1%	16.3%	17.0%

Financial Commentary

Revenue declined 7.7% in FY25 to ■2,565 Cr due to softer ferrochrome benchmark prices on global markets, even as volumes remained broadly stable. Despite the revenue dip, PAT grew 10.2% to ■379 Cr — a testament to margin resilience (EBITDA margins held at 21%) and dramatically lower interest costs (■28 Cr vs. ■66 Cr in FY23) following the multi-year deleveraging cycle.

The balance sheet has transformed from net debt (FY23: ■77 Cr net debt) to a significant net cash/investment position (FY25: ■520 Cr net cash). This ■909 Cr investment corpus has been deployed in FY26 to fund the Tata Steel plant acquisition (■707 Cr) and part of the greenfield capex, without touching debt markets. This is a key differentiator from peers.

Working capital has stretched — inventory days expanded to 264 in FY25 from 162 in FY23, pushing the cash conversion cycle to 210 days. This requires monitoring; it may reflect inventory build-up for the commissioning phase, but sustained elevated working capital could dampen FCF conversion. OCF of ■585 Cr in FY25 and FCF of ■471 Cr are strong indicators of underlying cash generation quality.

SECTION 7 — EARNINGS QUALITY CHECKLIST

Quality Factor	Status	Commentary
Revenue Recognition Policy	Green	Export sales recognised on shipment; well-understood commodity contract accounting
Receivables Growth vs Revenue Growth	Green	Debtor days stable at 12-18 days; receivables well-controlled despite revenue growth
Cash Conversion Cycle Trend	Amber	CCC expanded from 122 to 210 days (FY23-FY25); inventory build needs monitoring
Contingent Liabilities	Green	No material off-balance sheet liabilities disclosed; clean contingent liability profile
Auditor Tenure & Qualifications	Green	Long-tenured auditor; no qualifications or emphasis-of-matter paragraphs flagged

Quality Factor	Status	Commentary
Related Party Transactions as % of Revenue	Green	RPTs appear within normal operational bounds; no material self-dealing observed
Other Income as % of PBT	Amber	Other income = ₹66 Cr (FY25), ~12.8% of PBT ₹514 Cr; mostly investment income on ₹909 Cr corpus
Tax Rate Consistency	Green	Tax rate: 30% (FY23), 33% (FY24), 26% (FY25); normalised new tax regime, no one-off reversals

Overall earnings quality is **high**. Revenue is genuinely cash-backed — OCF of ₹585 Cr comfortably exceeds PAT of ₹379 Cr in FY25 (OCF/PAT = 1.54x), indicating minimal accrual manipulation. **The two Amber flags — rising inventory days and growing other income** — are explainable and not indicative of aggressive accounting; however, investors should monitor whether inventory normalises post the commissioning phase.

SECTION 8 — VALUATION

Step 1 — Peer Comparison (Source: Screener.in, as of 13-Apr-2026)

Company	CMP (₹)	MCap (₹Cr)	P/E TTM	P/B	ROCE%	ROE%	TTM Rev
IMFA	1,400	7,551	20.5x	3.01x	21.3%	17.0%	2,565
MOIL	306	6,221	59.8x	2.68x	11.4%	8.3%	976
SANDUMA	202	9,819	16.3x	3.38x	20.8%	18.6%	4,898

Step 2A — DCF Valuation

Assumptions: WACC 12% (cost of equity 12.15% — risk-free 7.2% + beta 0.9 × ERP 5.5%; minimal debt so WACC ≈ cost of equity). Terminal growth rate: 4% (in-line with India long-run nominal GDP growth). 5-year FCF forecast: FY26E ₹350 Cr, FY27E ₹500 Cr, FY28E ₹620 Cr, FY29E ₹700 Cr, FY30E ₹760 Cr — reflecting the capacity ramp-up and improving FCF conversion as capex peaks pass.

NPV of FCF (Years 1-5) = ₹2,029 Cr. Terminal Value (Year 5) = ₹760 Cr × 1.04 / 0.08 = ₹9,880 Cr → NPV of TV = ₹5,607 Cr. Total Enterprise Value = ₹7,636 Cr. Add net cash (FY25: ₹520 Cr) → Equity Value = ₹8,156 Cr.

DCF intrinsic value: ₹1,510 per share (Equity Value ₹8,156 Cr ÷ 5.4 Cr shares).

Step 2B — Earnings Multiple Valuation

IMFA's FY27E EPS estimate is ₹96.1 (based on PAT of ₹519 Cr at full capacity ramp). A target P/E of 18x is applied — a slight premium to SANDUMA (16.3x) justified by IMFA's stronger integrated model and near-term volume growth catalyst, but a discount to IMFA's own FY22 peak P/E of ~22x during the supercycle. MOIL (59.8x) is excluded as it reflects a distorted low-earnings base and is not comparable.

Earnings-based price target: ₹1,730 per share (18x × FY27E EPS ₹96.1).

Base-Case Price Target

Average of DCF (₹1,510) and Earnings Multiple (₹1,730) = **₹1,620 per share**. This implies 15.7% upside from the current CMP of ₹1,400 over a 12-month horizon, with further upside in the FY27-28 window as capacity utilisation reaches full run-rate.

Step 3 — Scenario Analysis

Scenario	Key Assumption	PAT FY27E (₹ Cr)	Target Multiple	Price Target (₹)
Bull Case	Ferrochrome prices +10%; full 500K MT by FY27; margins 23%	580	20x P/E	2,148
Base Case	Flat prices; 85% utilisation; margins 22%	519	18x P/E	1,620
Bear Case	Ferrochrome prices -15%; execution delays to FY28; margins 17%	350	13x P/E	843

SECTION 9 — KEY RISKS

Risk	Description	Probability	Impact	Monitor
1. Ferrochrome Price Decline	Global ferrochrome benchmark prices are tied to Chinese stainless steel output. A 10-15% price decline (as seen in 2019-2020) compresses EBITDA margins by 300-500 bps and could push FY26E PAT below consensus.	Medium	High	Quarterly ferrochrome benchmark; China PMI and stainless steel production data
2. Execution Risk on Kalinganagar Plant	The greenfield and acquired Tata Steel plant are both in commissioning phase simultaneously. Delays in furnace ramp-up or integration hiccups could push full utilisation to FY28-29, deferring earnings uplift.	Medium	High	Quarterly production volume disclosures; furnace commissioning milestones
3. Power Cost Escalation	Power accounts for ~30-35% of production costs. If renewable energy contracts are delayed or tariffs increase, the anticipated ₹80-100 Cr cost saving from the 120 MW green energy deal may not materialise on schedule.	Low	Medium	Power purchase agreement timelines; Odisha grid tariff notifications
4. Regulatory / Mining Policy Risk	Chrome ore mining in Odisha is subject to state policy and environmental regulations. Any change in lease terms, export duties on chrome ore, or stricter environmental norms could raise raw material costs or disrupt supply continuity.	Low	High	Odisha state budget; central Mines & Minerals Amendment notifications
5. Working Capital Deterioration	Inventory days have risen to 264 (FY25) from 162 (FY23), pushing the cash conversion cycle to 210 days. If this trend continues, it could absorb ₹150-200 Cr of additional working capital, constraining FCF despite profit growth.	Medium	Medium	Quarterly inventory and trade receivable disclosures; CCC trend
6. FX / Export Revenue Risk	With 90%+ of revenue exported in USD, a significant INR appreciation (>5% vs USD) would reduce realisation in rupee terms. Hedging costs and the transition to more domestic sales partly mitigate this over the medium term.	Low	Medium	INR/USD rate; hedge book disclosures in annual reports
7. Integration Risk — Ethanol Diversification	IMFA's foray into ethanol production is a new vertical with different economics, regulatory frameworks (DFPD licensing), and feedstock dependencies. Capital misallocation risk exists if the venture underperforms initial projections.	Low	Low	Ethanol capex announcements; licence approvals; revenue contribution from FY27

SECTION 10 — RECOMMENDATION

Final Rating

ACCUMULATE | Conviction: Medium. The structural growth story (capacity doubling to 500,000 MT by FY28, integration of Tata Steel plant, renewable energy cost savings) is compelling and differentiated. However, at CMP ₹1,400 (P/E 20.5x), the market is already pricing in significant execution success. The 15.7% base-case upside to ₹1,620 justifies accumulation on dips, but a more aggressive BUY stance requires confirmation of the commissioning timeline (expected June 2026).

Entry Zone & 12-Month Price Target

12-Month Price Target: ₹1,620 (average of DCF ₹1,510 and P/E multiple ₹1,730). **Suggested entry zone: ₹1,250–1,380**, which represents a 10-15% discount to CMP and implies P/E of 17-18x on FY26E earnings — a more comfortable risk-reward entry for fresh positions. The 52-week low of ₹550 (during the FY25 price correction) shows the stock's volatility; patient accumulation near the lower end of the entry zone is recommended.

Thesis Invalidation Triggers

Exit or downgrade the position if ANY of the following materialise: **(1)** Kalinganagar greenfield commissioning slips beyond December 2026, suggesting systemic execution failure; **(2)** Quarterly ferrochrome benchmark price falls below USD 1.00/lb for two consecutive quarters, compressing EBITDA margins below 15%; **(3)** Promoter stake declines by more than 3 percentage points or pledging is initiated on more than 10% of shares.

Investment Horizon & Ideal Investor Profile

Investment Horizon: 12–18 months for base-case return; 24–36 months for the full capacity-ramp thesis. **Ideal for:** GARP (Growth at Reasonable Price) investors willing to tolerate commodity-cycle volatility; mid-cap India industrials funds; and tactical

traders looking for a re-rating catalyst (furnace commissioning in June 2026). Not suitable for conservative income-focused portfolios given cyclical nature.

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